Scroll through to find each video with transcript

Video 1 link: https://youtu.be/_x97sh4RYn8

Transcript: I thought this would be easier to show with a short slide deck. So, here's uh my addition A was my week 3 judgment uh based off of the fiscal year 202510K where Walt reported 168.5 million in revenue and only 16.9 million was HPC with critical IT megawatts um energized at year end. The net loss was 661.4 4 million and that debt of 1.9 almost $2

billion uh using unrestricted cash and at the beginning I recommended it to be a watch/ defer um on asking whether contracted HBC could pay for buildout in debt and um this was prior to building out a DCF. Next, I added the June 26 filing for quarter two um after later contracts were in place. Um Lake, one of the locations had 10 102 megawws delivered and uh 336 under construction while Anthropic added 401 it megawws um phased on delivery. And the Musky Power is not tenant revenue. So I corrected their restricted cash of uh 456 million in December to 409 million in June. um June balances being 2.619 billion unrestricted cash and 5.6 5.725 billion in principal debt primarily from their new construction project. From here I separated I separated out a few facts um from forecast and outputs. The fiscal year 2025 EBIT moves from negative 186.2 2 million to uh 150.7 million with recurring costs remaining and um it is still not an HPC run rate.

So instead of applying a kagger to mining revenue, the forecast uses buildable IT megawatts uh times escalating rent and a zero margin power reimbursement mining runoff and lean construction cash and debt across the five years. Um remaining construction um like was said in the last slide is still 5.209 209 billion um which is set to be going down hopefully as they continue to pay that off which would help us out in the end run. At 10% whack and 2% terminal growth DCF operating EV is 512 million but it leaves behind a negative 2.45 billion residual equity um which shows a 0 floor um but with favorable favorable execution with no delays, stress or construction issues. execution could reach $2.74 per diluted shares and the peer policy visual there uh shows the differences um using EV to revenue and price to book for CIFR and IRM. Ultimately, this is going to stay as a watch. I have faith that with this industry and AI infrastructure that there will be able there will be ways for them to be bailed out and refinance their debt and restructure terms and ultimately bring in people to take over the energy that they are creating.

Video 2 link: https://youtu.be/3SmltKUGbr0

Transcript: Okay, so now to get into the code of behind the entire project. Um, first looking at the uh Wolf engine that starts with the June 30th filing balance sheet and kind of forecast out for the rest of the year plus five full additional years. Um, it uses DCF forecast um that

that forecast operating cash flows um including the mining heavy revenue. uh it retains a negative buildout for the different years um with explicit FCF f present value of negative $3.3 billion. Um terminal value is positive $3.8 billion um leaving us with $512 million in operating enterprise value. after debt and other claims residual common equity is -2.453 453 billion. Um, and I can run this real quick. This uh the displayed $0 here as mentioned before is due to the negative 4 uncapped equity per share, but we treat it with a limited limited liability floor um without a negative stock price of course. But that's where all this information comes from. And now looking at the forecasts and what goes into that would be all of these statements right here which takes into account um you know the big three balance sheet income statement cash flow statement um forecast reflects Wol's transition from heavy Bitcoin mining to staging their critical IT megawatt drive for AI infrastructure and power generation um escalating contract rent and power reimbursement. Um there's construction in progress which is separating from the operating uh capex but uh the depreciation maintenance working capital um debt and cash all link across all three statements. The uh EBIT from 2025 is reconciled and treated normally um but it's not treated with the future cash flows of the HPC um run rate. every period checks at the balance sheet balances and cash flows um tied to cash. The key uncertainty here is the $5.2 billion of estimated remaining um CIP because project allocation could face delays and um there is some issues with financing being committed.

And now quickly looking at the code behind um the pier comparisons. Um the Wolf Pier

code applies disclosed and consistent definitions of October 16 prices. Um but

June 30th basic shares and balances. Um TTM revenue through June as well.

And as you can see here all the different things, you know, the uh EVs revenue for for Wolf is 59.4 four um 47.58 for Cifer and 17.2 for Iron. Um if anything, Cifpher is closer and iron,

but iron is more of a qualified business model um with less differences.

Uh PE is rejected because um loss period earnings make it kind of meaningless in this comparison. um they're lag balance diagnostics and they they aren't diluted shared to target um to average with DCF. Um they're all different businesses and kind of have their own definitions. So that's what the disagreement there is. And lastly, we have the workbench and validation Python scripts. Um the work the workbench is kind of all the coding that went behind the website workbench that I built out and submitted. Um it bounds assumptions and shows their basis challenge and reversal evidence. Um base residual equity is negative. So common value display zero and uh favorable operating assumptions produce zero share at 10% whack. 54 cents at 9% whack and $2.74 at 8% whack, which is the um most favorable outcome, which um is touched on and and you're

able to see that on the website itself. Um construction stress and delays and potential funding failures um are not plugged by validation checks, filing reconciliations statements, DCF and peer definitions uh sensitivity and failure recovery. All these checks um are are test mechanics and um they are not assumptions. So this is what I came up with with the help of the AI. Um and it was with the evidence from all these different analysis and the decision is still a watch and a fur with zero allocation. um all really dependent on the project costs, committed funding, and when that rent starts for their um for their megawatt facilities. Um because that will help refresh the capital structure. So this is June anchored with later evidence

Video 3 link: https://youtu.be/DXjgmQ9MDFI

Transcript: So, here's my workbench. And as you can see with this share right here of $0, um it's still upholding our defer opinion. But if I play around with these numbers like lower our remaining construction costs and incre increase our rent realization and run these inputs, you can see that these negative inputs actually increase. But it's still not enough of an increase to um drive our share price up, which is why um we have to have major changes as I explained in the memo um in order for us to move out of watch/defer And I can go here and reset these back to the base um where we have our uncapped our negative uncapped equityand still negative FCF. Um and here I can demonstrate what a funding failure would look like for us um where now we are still completely withheld um with um really really bad poor performance which is just again upholding this position of washer. Now looking at our scenarios and equity bridge the contracted footprint DCF supports a range of roughly zero to $2.74 per diluted share. Um the base case has $512.6 million of operating enterprise value but after opening debt and some other claims it leaves a2.453 billion residual equity or negative $4 per deleted share before the limited liability floor. Um zero is a display floor not a market price predition. So with the continued construction stress and um delays and no financing uh cases and fail funding, we do not receive a valid um share price that would make us move off of this decision. Now looking at the opening balance sheet for June 30th, 2026 and later contract evidence is incorporated through October 19th, but this is more retrospective, not an October target, but unrestricted cash was $2.6 6 billion with restricted cash of $49 million. It's not treated as distributable with principal debt of 5.73 billion. Uh the Lake Mariner had 102 megawatts delivered in July and 336 under construction to bring in more revenue with the 401 megawatt anthropically supported demand. Um but it just depends on delivery of that project with uh power capacity by itself. It's not really tenant revenue yet. Now looking at some of our assumption arguments, the strongest counterargument is that the remaining cost may be lower. Uh

tenants may fund more of the build or sign musky economics may add substantial value, but the base uses 5.2 billion of remaining construction and it's site allocations are not verified. So new debt availability of 3.5 billion is assumed, not committed. And I would change the case after project level construction is reconciled. Um there's signed financing and customer acceptance um for actual rent recognition. Um the unsigned expansion remains outside of the current DCF. But again, these are just assumptions for different cases. Now looking a little bit at our whack and terminal value share and a little bit of the peer comp. Uh the base explicit FCF present value is negative 3.53.4 billion while the terminal present value is positive uh 3.9 billion. Uh the terminal value is 755% of net operating enterprise value. Um mostly because the buildout of years of years in the future consumes cash and um that makes renewal and maintenance and long run economics really critical in this calculation is kind of showing that um there is some hope out there for a brighter future. And um just looking at some peer diagnostics um price to book and EVA revenue do not agree with one another in this or the DCF. So it's kind of showing that the revenue is transactional um and it could be kind of distorted looking at the book. Lastly looking back at our conditions the committee action is to watch and fer zero allocation for any initial uh initiation. You know, I need current cash, debt, share, and capex roll forward. Um, verified remaining project spend, binding funding, and a rent commencement. Future entry needs at least a 25% margin of safety to have defensible argument against this estimate. And a zero lower estimate does not pass that condition. um missed rents could start unfinanced deficit or more than 10% you know cost increase could trigger immediate review and really um have negative outcomes for this company and would further you know defer us away from investing in this company. Uh the next plan is to kind of review end of year or even wait until 2027 uh financials come out and reflect back and see if there any um good changes have been made.